

money market funds are paying just 0.3%. The stock has declined since I sold it.

Points A and B are called spikes or tails. Point A is especially good because the price closes near the daily low. That is important. Look for a long price spike with a close near the daily low. For the first Adam peak, if you sold the day after the spike, you would have made 62%. If you sold at the close the day after points B and A, you would have made 55% and 40%, respectively. Those are good gains regardless of how you slice it.

Most amateur investors may have held onto the stock and rode it back down. As it bottomed at the confirmation line, they may have sold (some did as the slight rise in volume suggests). Others held on, vowing to sell if price reached the old high. When price climbed and approached the old high, their tune changed. Their desire to sell melted into greed. “Why sell if the stock is going up?”

Good point. But you have to sell sometime. Price fluctuations may shake amateurs out or they may turn stubborn and hold on, this time riding the stock down to the confirmation point. That is when the twin peaks turn into a valid double top. That is also the time to sell. Placing a stop-loss order at the confirmation line means your position sells without your having to worry about it.

In this example, a second sell trendline would work well when price closed below it in September. If you sold at the close the following day, you would have made 50%. That is much better than the 29% gain when selling at the confirmation line.

Am I advocating selling before confirmation? No. Every time I have done that in a double top, the stock never confirmed, and I gave up profit because price made new highs. Still, you can increase your profit by taking shortcuts to selling as the example shows (using trendlines, for instance). You can always buy back in if price does not sink to the confirmation price.

The choice is yours. If you are just days away from changing a short-term gain into a long-term one, it may be wise to hold off selling. I did something similar by waiting 3 days to push a trade into a new tax year, shifting income. By delaying, I changed a 40% profit into a 27% one. *Oops.*